

1.4 ITEMS INCLUDED AND EXCLUDED IN GDP

MARKING SCHEME

1990/CE/II/39 A	1993/CE/II/35 A	1997/CE/II/60 B	2002/CE/II/49 B (52%)	2015/DSE/II/24 C (75%)
1990/CE/II/49 B	1994/CE/II/32 B	1998/CE/II/26 A	2004/CE/II/26 B (71%)	2018/DSE/II/24 A (71%)
1991/CE/II/44 C	1995/CE/II/60 A	1999/CE/II/24 C	2005/CE/II/26 A (77%)	2023/DSE/II/24 B
1992/CE/II/45 D	1996/CE/II/27 B	1999/CE/II/31 A	2006/CE/II/25 D (65%)	
1992/CE/II/47 A	1997/CE/II/24 A	2000/CE/II/33 A	2007/CE/II/26 C (55%)	
1992/CE/II/58 A	1997/CE/II/29 B	2001/CE/II/50 A	2007/CE/II/27 D (59%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1992/CE/I/5(b)

(i) Not included, because (1)
there is no production in return for the money. (2)

(ii) Included, because (1)
it is a return to production in the year. (2)

1993/CE/I/4(b)(i)

No, because (2)
(part of) it is not produced in Hong Kong, and
(part of) it is unreported transaction. (2)

1995/CE/I/11(d)

(i) True, because (1)
it is Mr. Ip's factor income for his production / service rendered. (1)

(ii) False, because (1)
production cost such as the labour wages paid in 1995 are included in the national income for 1995.

OR
the portion completed in 1995 is value-added in 1995.

OR
the portion completed in 1995 is investment in 1995. (2)

1996/CE/I/3(b)

Not included, because
not a consumption expenditure (∵ consumers got their money back) nor an investment expenditure (∵ the products were destroyed)

OR
no value added to GNP (∵ production costs such as cost of materials, wage payments, transportation cost, etc. were offset by loss at the firm level) (2)

- 1996/CE/I/4(a)
GDP at factor cost increased by \$2 000, because (1)
it is a current production.
- OR
the \$2 000 is included in the government expenditure of the current year. (1)
- 1997/CE/I/8
(a) The sewage charges should be included, because (1)
it is a payment for the services produced by the government. (1)
(b) The increased resale value should not be included, because (1)
there is no production of goods or services. (1)
- 1998/CE/I/9(d)
The commission to the broker must be added to Hong Kong's GDP, because (1)
it is an income to the broker / a payment for the broker's service.
OR
it involves provision of service in this current year. (1)
- The payment for shares should not be taken into account, because (1)
it is just a transfer of ownership of existing assets which does not relate to any current production. (1)
- 1999/CE/I/7
(a) Not included, because (1)
charity donation is not a production. (1)
(b) Included, because (1)
it is in exchange for certain service rendered in the current year. (1)
- 2000/CE/I/9(b)(ii)
Smuggled gasoline has no official record in the GDP figures (∵ illegal) (2)
(On the other hand,) sales revenue of petroleum companies ↓ (1)
∴ GDP ↓ (1)
- 2000/CE/I/10(b)(iii)
No, because (1)
the \$5 mn. refers to the value of shares being transferred and share transfer itself is not a production. (2)
- 2001/CE/I/11(a)(ii)
- market value of currently constructed property decreases
- total value of middlemen services (of those property agencies, law firms, etc) decreases
- effect on expenditure components, e.g. consumption ↓, investment ↓
- effect on factor income e.g. wages ↓, profits ↓
(2@, max: 4)
∴ GDP decreases. (1)
(Mere mentioning of the conclusion without elaboration - zero mark)
- 2002/CE/I/10(a)(ii)
Consumers' spending would be greater than \$400 m because there are
- spending on goods not currently produced, e.g., inventories in past year which are sold in this year
- spending on mere transfer of ownership, e.g., secondhand goods, existing stocks and shares, existing properties
- spending on investment items e.g., new houses
- unreported transactions e.g., illegal goods
[Mark the **FIRST THREE** points only.] (2@, max: 6)

2003/CE/I/11(a)
 (i) No, because (1)
 the amount received from the sale demonstrates merely a transfer of ownership which has no current production. (1)

(ii) Yes, because (1)
 it represents the value of services provided by the accounting firms (1)
 which are resident producing units of Hong Kong. (1)

2006/CE/II/10(b)
 (i) $\$(9.37 - 9.07) \times 10\,000$ (1)
 = \$3 000. He gained \$3 000. (1)

No, because (1)
 the capital gain does not involve production. (1)

(ii) Yes, because (1)
 the banking service involved in the transactions is a production. (1)

2008/CE/I/9(a)
 No because (1)
 an increase in the capital value does not involve production. (1)

2009/CE/I/9(c)
 Part of the total spending is on the service provided by the bookstores. The service provided by the bookstores is a current production which should be counted as part of the GDP. (2)

2012/DSE/II/10(a)(i)
 No, because (1)
 there is no corresponding production. (1)

2015/DSE/II/9(d)
 No, because (1)
 it is not sold to the market and thus not counted in production. [Output Approach]

OR
 it is neither counted in consumption nor investment. [Expenditure Approach]

OR
 business losses due to destroyed products (i.e., negative profits) would offset exactly wages paid to workers and other material costs incurred in producing these products (i.e., positive wage and other factor incomes). [Income Approach] (1)

2022/DSE/II/11b

(b) No, it should be counted as transfer payment. (2)

20223DSE/II/10d

(d) No, because (1)
 no current production is involved. (1)

2024/DSE/II/11(c)

- (c) As the barista stays in Hong Kong for only one week, he is not regarded as a Hong Kong resident. (1)
- His income from Ann's coffee shop (a Hong Kong resident producing unit) is therefore regarded as factor income paid abroad which is to be deducted in the calculation of Hong Kong's net factor income from abroad. (1)
- Therefore, Hong Kong's net factor income from abroad would decrease. (1)